Robinhood Markets, Inc.

HOOD NASDAQ

Buy	$112.09 ▲ 8.17%	12M Price Target **$130.00**	52-Week Range $63.52 – $153.86	Market Cap $100.78B

HOOD: Crypto Rules + Retail Frenzy Fueling Breakout

WHAT HAPPENED

- HOOD ripped +8% yesterday and is holding gains — the trigger was a bulge-bracket bank (the "157-year-old Wall Street giant" = likely Goldman) upgrading both HOOD and COIN. When old-money banks bless the retail/crypto brokers, it signals the institutional narrative has flipped from "meme stock" to "real financial platform."
- Volume on the 8/21 breakout was 50M shares (2x normal) — that's not retail chatter, that's funds accumulating. Follow-through yesterday on lighter volume means the move is sticking, not fading.

WHY IT MATTERS

This isn't just a sentiment pop — HOOD is breaking out because the entire regulatory backdrop for crypto and retail trading has flipped friendly under the current administration. The SEC under the Atkins-era leadership has dropped enforcement cases against crypto firms, and the GENIUS Act (stablecoin framework) plus the CLARITY Act working through Congress give exchanges like HOOD a legal runway to expand tokenized assets, staking, and 24/7 equity trading — all high-margin businesses they couldn't touch under Gensler. The unusual call buying at the $111 strike expiring this week tells you smart money is positioning for continued momentum, not fading it. Watch for HOOD to keep pushing toward the $153 all-time high if Nvidia earnings tonight don't crater risk appetite.

POLICY & POLITICAL WATCH

The big one: the CLARITY Act (market structure bill for crypto) passed the House and is sitting in the Senate — if it gets signed, HOOD can legally custody and trade a much broader universe of tokens, which is a direct revenue unlock. Second, the SEC's proposed rules on payment for order flow (PFOF — where market makers pay HOOD to route your trades to them, which is ~40% of revenue) have been effectively shelved under the current SEC, removing a major overhang. Net-net: the regulatory wind is at HOOD's back in a way it hasn't been in five years, and that's the single biggest reason the multiple is expanding.

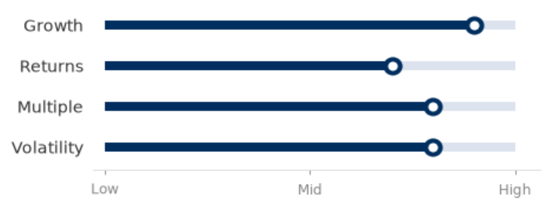
IS IT EXPENSIVE?

At $100B market cap on ~$4.2B forward revenue, you're paying about $24 for every $1 of revenue — that's rich versus Schwab (~7x) or IBKR (~10x), but HOOD is growing revenue 40%+ vs. those guys in the low teens. On earnings, ~60x forward P/E means investors are paying $60 today for every $1 of profit next year — expensive, but justifiable IF crypto and options volumes hold up and tokenization becomes real. This is priced for perfection — any crypto winter or volume drop and the multiple compresses fast.

Key Data

Price (USD)	**$112.09**
12M Price Target	**$130.00**
Upside / (Downside)	**+16.0%**
Market Cap	**$100.78B**
FY2026E Revenue	**$4,200M**
FY2027E Revenue	**$5,400M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.60**
Fwd P/E	**60.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

HOOD — Robinhood Markets, Inc. | August 26, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$125.00**	$115.00	**$98.00**
6 Months	**$145.00**	$125.00	**$88.00**
1 Year	**$170.00**	$130.00	**$80.00**
2 Years	**$220.00**	$160.00	**$70.00**
5 Years	**$350.00**	$220.00	**$60.00**
10 Years	**$600.00**	$320.00	**$50.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Financials with crypto exposure (HOOD, COIN, MSTR) — the regulatory thaw is a multi-year tailwind. Comm Services up +2.4% on the week signals risk-on positioning.

COOLING OFF: Tech (-2% on the week) as the market de-risks ahead of Nvidia earnings — any AI disappointment could pull HOOD down with it via correlation.

ROTATION WATCH: Money is rotating out of mega-cap tech and into "second derivative" AI/crypto plays and specialty financials. HOOD sits in a sweet spot because it benefits from both retail risk appetite AND the crypto policy shift.

RELATED PLAY: If HOOD keeps working, look at COIN (direct crypto peer), IBKR (options volume beneficiary), and the crypto miners as the higher-beta expression of the same trade.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Same Wall Street upgrade, same regulatory tailwind — the pure-play version of HOOD's crypto thesis.
- IBKR (Interactive Brokers): Riding record retail options volumes, but with a cleaner, more institutional model.

HOOD CONTEXT: HOOD is leading its peer group right now — it's the highest-beta way to play retail resurgence AND crypto policy. When it leads on the way up, it also leads on the way down, so respect the volatility.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Genuinely bullish on the setup, but the stock has already run 75%+ off the lows so I'm not chasing here.

POSITION SIZE: 2-4% — Real upside, but crypto beta means you don't want it any bigger unless you have high risk tolerance.

ENTRY POINTS: I'd rather add on pullbacks to $100-105 (the pre-breakout level) than chase at $112. If Nvidia disappoints tonight, you might get that gift.

TIME HORIZON: 12-24 months — catalysts are the CLARITY Act signing, tokenized equity launch, and Q3/Q4 earnings showing continued user and ARPU growth.

WHEN TO BAIL: Bitcoin breaks $70K decisively, OR PFOF regulation resurfaces, OR monthly active users decline two quarters in a row. Any of those and I'm trimming hard.

HEDGING: Cheapest hedge is buying 3-month puts 15-20% out of the money — costs a bit but caps your downside if crypto rolls. Alternatively, pair the long with a small short in a richer-multiple fintech.